

QUALCOMM (QCOM)

Fundamental analysis & five-year outlook | July 28, 2026 | Price \$163.04 (intraday, 7/28/26) | Market cap ~\$171.8B | Prepared for the Portfolio Manager | **Reports Q3 FY2026 tomorrow, 7/29/26 after close**

The one-paragraph version. Qualcomm is a wide-moat licensing and chip business trading at roughly a third of its semiconductor peers' multiples — 18.6x trailing versus 50-64x for TXN, AVGO and MRVL — because the market is fixated on a real, dated problem: Apple's in-house modem fully displaces Qualcomm by 2027, a ~\$7-8B annual revenue hole against a ~\$44B company. **The gap between business and stock is that the offset is already showing up in the numbers, not just the slide deck** — automotive revenue hit a record \$1.33B in the most recent quarter (+38% y/y), and management just doubled its FY2029 non-handset revenue target to \$40B on the back of new datacenter customers (Meta, and reportedly ByteDance). The crux: **can auto, IoT and a not-yet-shipping datacenter business grow fast enough to backfill the Apple cliff before it bites** — and can you trust a management team's own targets when the products behind \$15B of them (data center CPUs, AI250) don't exist in shipping form yet. Reporting earnings tomorrow after the close, with options pricing a ~9% move, **my read is that the stock's discount already prices in a fair amount of pessimism about the transition, and the risk/reward from here is more balanced than the market's mood suggests** — but this is a name to own for the diversification thesis playing out over years, not for tomorrow's print.

1. History, business model, and revenue mix

The short history

Qualcomm was founded in San Diego in 1985 and built its fortune on two things bolted together: CDMA and, later, the broader cellular standards that became the industry's common language, and the chips (QCT) that implement them. Cristiano Amon became CEO in 2021 and has spent the years since trying to prove the company is more than a smartphone-cycle bet — pushing into automotive, PC (the Snapdragon X / Oryon core line, cleared of Arm litigation risk in 2025), IoT, and now, formally, AI data-center silicon. The last chapter that matters most for this report is the one still being written: **Apple's long-telegraphed move to in-house cellular modems**, which ends Qualcomm's licensing arrangement with its largest single modem customer by 2027, alongside a genuinely difficult FY2026 in which memory-chip shortages have squeezed handset OEM production and channel inventory.

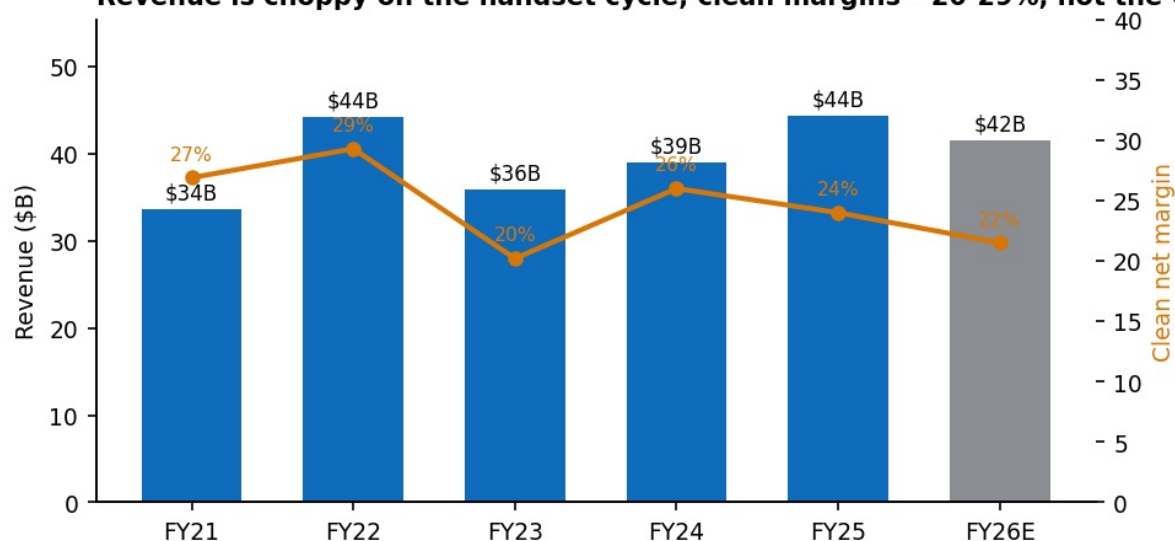
Business model

Two businesses under one roof, with very different economics. **QCT** (Qualcomm CDMA Technologies) designs and sells the Snapdragon system-on-chip and modem-RF silicon that goes into phones, cars, PCs and connected devices — a normal, capital-light fabless semiconductor business (TSMC manufactures) with real competition and cyclical demand. **QTL** (Qualcomm Technology Licensing) is the better business by far: it licenses Qualcomm's foundational cellular patents to handset makers, who pay a royalty on the phone whether or not they use a single Qualcomm chip. QTL runs at a 72% EBT margin because the marginal cost of licensing intellectual property is close to zero — it is the closest thing Qualcomm has to a toll booth, and it is why the company survives an Apple modem exit better than a pure-chip peer would: **Apple still needs a patent license even after it builds its own modem.**

Segments and revenue mix

Segment	Q2 FY26 revenue	% of total	Momentum
QCT — Handsets	\$6.02B	57.6%	-13% y/y — memory shortage squeezing China OEM production; Apple exit begins here
QCT — IoT	\$1.73B	16.5%	+9% y/y — industrial, networking, edge compute
QCT — Automotive	\$1.33B	12.7%	+38% y/y, record quarter — the clearest proof point diversification is real
QTL — Licensing	\$1.38B	13.2%	+5% y/y, 72% EBT margin — the annuity, largely insulated from the Apple chip exit

Revenue is choppy on the handset cycle; clean margins ~20-29%, not the GAAP swings



Clean margin strips the FY25 \$5.7B tax valuation-allowance charge. FY26E is my estimate (9mo actuals + Q4 guidance midpoint). Grey = estimated.

Sources: QCOM 10-K FY2025, FY2026 Q1/Q2 8-Ks. Segment mix is Q2 FY26 (quarter ended 3/29/26); FY26E revenue/margin is my estimate blending nine months actual with Q3 guidance midpoint and a placeholder Q4. FY25 clean margin strips the Q4 FY25 tax charge (see §5).

The mix story

Handsets are still 58% of QCT and the segment under the most pressure — down 13% year over year on memory-driven production cuts, not demand destruction, but pressure all the same. The two segments growing fastest, automotive and IoT, are together barely a third the size of handsets today. **The arithmetic only works if auto and IoT keep compounding at 20%+ for years while data center goes from a rounding error (\$0.3B guided for FY26) to management's \$15B FY29 target** — a target built on chips (the Dragonfly CPU, AI250) that do not ship until 2027-2028.

2. Moat and competitive landscape

Where the moat is real

- **The licensing annuity is close to unassailable.** QTL collects royalties on essentially every 3G/4G/5G handset sold globally, Qualcomm silicon or not, off a patent portfolio built over four decades. Apple's in-house modem changes QCT revenue, not QTL — the toll booth stays open.
- **Full legal clearance on its newest core IP.** The Arm/Nuvia architecture-license dispute, which threatened Qualcomm's right to sell Snapdragon X (PC) and Oryon-derived automotive cores, ended in a complete Qualcomm/Nuvia court victory in September 2025 (Arm has appealed to the Third Circuit). Qualcomm's own affirmative suit against Arm — alleging Arm withheld deliverables and sought commercially unreasonable licensing terms — goes to trial October 5, 2026, a legitimate near-term catalyst most retail coverage has stopped tracking now that the "existential" claim is resolved.
- **Automotive design-win pipeline is real and large.** Management cites a \$65B design-win pipeline and a \$10B FY29 automotive revenue target, with the current run rate already exceeding \$5B annualized and record quarterly growth of 38%.

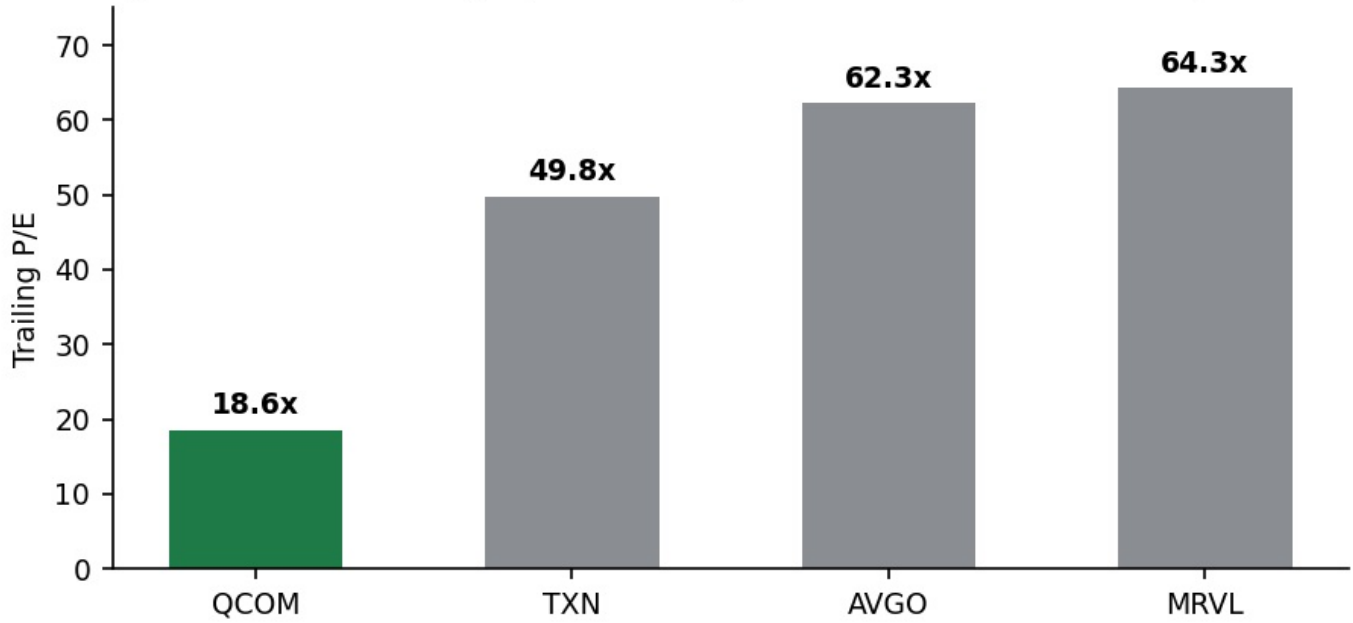
Where the moat is thinner than the bulls admit

- **The Apple exit is not a maybe.** CEO Amon has told analysts Qualcomm expects to supply modems for only ~20% of iPhones in 2026 and effectively zero by 2027 — a \$7.3-7.8B annual revenue hole (modem plus RF) that fully lands by 2027-2028. That is roughly 17-18% of trailing revenue disappearing from a single customer relationship, and no amount of diversification math changes that it is real and dated.
- **Samsung is trimming Qualcomm content too.** Samsung is reintroducing its in-house Exynos chipset in the fall-2026 Galaxy S26 lineup, cutting Qualcomm's share of Samsung's flagship line from ~100% toward ~70-75% — a second large customer diversifying away, not just Apple.
- **The data-center pitch is a roadmap, not a shipping product.** The \$15B FY29 datacenter target depends on the Dragonfly CPU (production starting 2028 for Meta) and the AI250 accelerator (2027). Qualcomm is entering a market Nvidia, AMD and Broadcom already occupy, differentiating on total-cost-of-ownership and memory capacity rather than peak performance — a credible niche, not a demonstrated one.
- **Handset concentration is still the dominant fact.** Even after all the diversification talk, handsets remain ~58% of QCT revenue today, and the near-term numbers (Q3 FY26 guidance of \$9.2-10.0B, down from \$10.6B) reflect real cyclical softness, not just optics.

Peer comparison (7/28/26, intraday)

Company	Market cap	Trailing P/E	Div. yield	Position vs. QCOM
Qualcomm (QCOM)	~\$172B	18.6x	2.10%	Handset-levered; licensing annuity; earliest-stage in AI datacenter
Texas Instruments (TXN)	~\$252B	49.8x	1.93%	Analog/embedded, more cyclical-defensive; priced at ~2.7x QCOM's multiple
Broadcom (AVGO)	~\$1,872B	62.3x	0.68%	Custom AI silicon incumbent (the business QCOM is trying to enter) plus VMware software
Marvell (MRVL)	~\$153B	64.3x	0.13%	Pure-play custom-silicon/networking; smaller, similarly AI-capex-levered, richer multiple

QCOM trades at roughly a third of peer semiconductor multiples



Source: Robinhood live quotes, 7/28/26. Trailing P/E, not adjusted for one-time items (QCOM's own trailing P/E is coincidentally close to clean this quarter -- see \$5).

Source: Robinhood live quotes, 7/28/26 intraday. Trailing P/E for all four is unadjusted; QCOM's is coincidentally close to a clean figure this specific quarter — see \$5.

3. Growth drivers

Driver 1 — Automotive (proven, compounding)

Record \$1.33B in the most recent quarter, up 38% year over year, with combined auto-and-IoT growth of 20%. Management's own FY29 target is \$10B, roughly 2x the current annualized run rate, backed by a stated \$65B cumulative design-win pipeline (bookings, not yet revenue). This is the one growth driver already showing up in reported numbers rather than a roadmap slide, and it is the fastest-growing piece of the non-handset story.

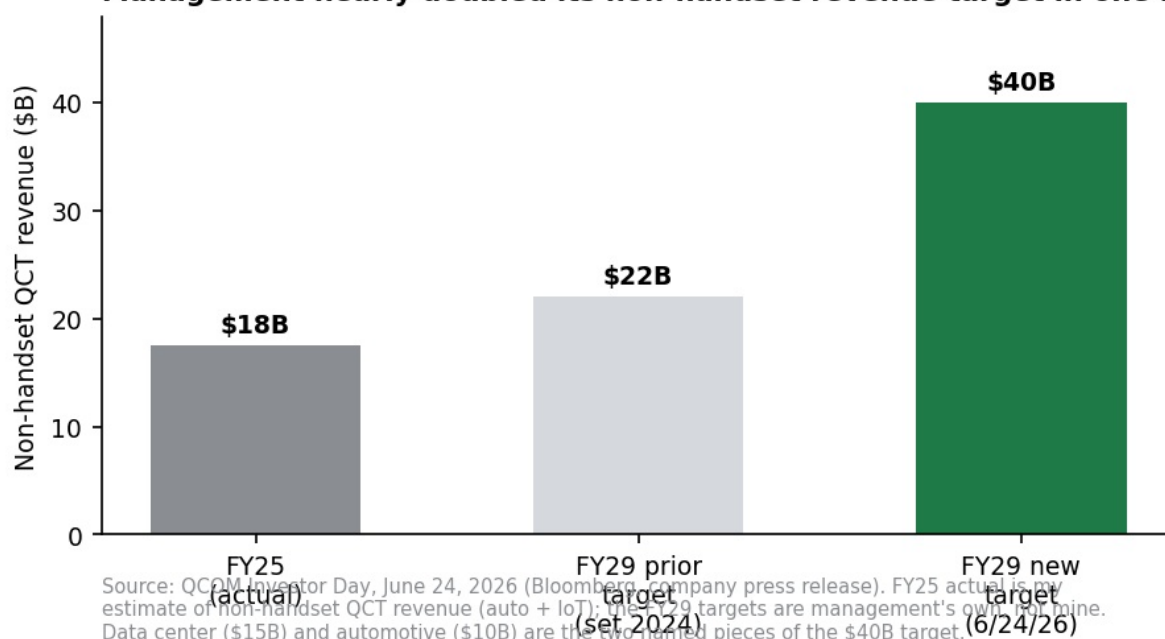
Driver 2 — IoT and edge compute (proven, steady)

Up 9% year over year to \$1.73B, spanning industrial, networking and edge-AI applications. Less dramatic than automotive but the more diversified of the two "already real" growth lines — dozens of customers and use cases rather than a handful of automaker design wins.

Driver 3 — AI data center (optionality — largely zero in my base case)

At its June 24, 2026 Investor Day, Qualcomm nearly doubled its FY2029 non-handset revenue target to \$40B and, for the first time, put a number on data center: more than \$15B by FY29, up from roughly \$0.3B guided for FY26, with named customers (Meta for the Dragonfly CPU, and Bloomberg-reported ByteDance interest in custom silicon) and a Saudi HUMAIN partnership targeting 200MW of AI200/AI250 deployment starting in 2026. **The catch, stated plainly by management itself on the call: the CPU doesn't ship until 2028, and the AI250 accelerator not until 2027.** I assign a fraction of this target — not zero, given named hyperscaler commitments, but well short of the full \$15B — to my base case, and treat the rest as bull-case optionality.

Management nearly doubled its non-handset revenue target in one Investor Day



Sources: Qualcomm Investor Day, June 24, 2026 (Bloomberg, company press release, Futurum Group research note). FY25 actual is my estimate of combined auto+IoT QCT revenue; the FY29 figures are management's stated targets, not consensus or my own forecast.

Driver 4 — Licensing (proven, low-growth annuity)

QTL grew revenue 5% to \$1.38B in the most recent quarter at a 72% EBT margin. It will not re-rate the stock on its own, but it is the steadiest, highest-margin dollar in the business and the reason Qualcomm survives the Apple chip exit with its economics intact rather than shattered — Apple keeps paying for the patents even after it stops buying the silicon.

4. Capital allocation

Item	Detail
Buyback	\$8.79B repurchased in FY2025 (56M shares retired); new \$20B authorization approved March 17, 2026 — no expiration, ~14.5% of market cap at announcement, with \$5.4B already deployed in H1 FY26
Dividend	Raised to \$0.92/quarter (from \$0.89) effective March 2026 — the 22nd-24th consecutive annual increase depending on source; ~2.1% yield, ~35-42% payout ratio on non-GAAP earnings. Irrelevant to your total-return mandate but confirms no capital stress.
M&A — Alphawave	\$2.3B acquisition closed to add data-center connectivity IP — small, strategic, directly supports the datacenter push
M&A — Modular	~\$3.9B acquisition (announced June 2026) of an AI software layer that lets developers deploy models across chip architectures without rewriting code — a bet that software, not just silicon, is needed to win datacenter customers
Balance sheet	Net cash position, investment-grade; FY2025 FCF ~\$12.8B against the \$8.79B buyback plus \$3.81B dividend — capital return was fully covered by cash generation, not leverage

The honest read: a \$20B buyback with no expiration, sized at nearly 15% of market cap, at a stock trading at a third of peer multiples, is management voting with real cash that the discount is too wide — and unlike GE Vernova's buyback at ~80x earnings, this one is being executed at a genuinely cheap multiple, which is the buyback you want to see. The two acquisitions tell a consistent story: Qualcomm is not simply hoping the datacenter market opens up, it is buying the connectivity IP (Alphawave) and software layer (Modular) it thinks it's missing to compete for hyperscaler business against Nvidia, AMD and Broadcom. That is a management team spending real money on the thesis, which counts for something — though neither deal is large enough to be transformative on its own.

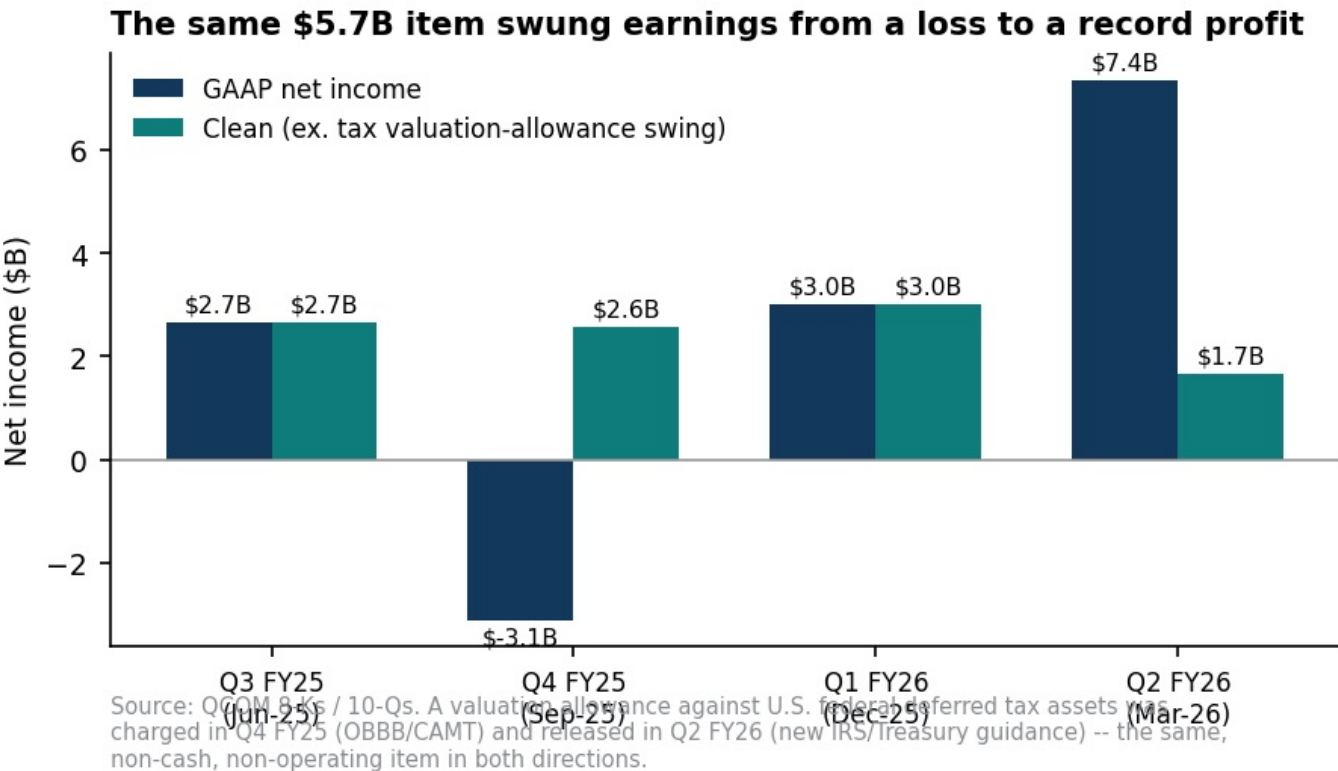
5. Financial deep dive

Five-year record

Fiscal year	FY21	FY22	FY23	FY24	FY25	FY26E
Revenue (\$B)	33.6	44.2	35.8	39.0	44.3	~41.5
Gross margin	57.5%	57.8%	55.7%	56.2%	55.4%	~55%
GAAP net income (\$B)	9.04	12.94	7.23	10.14	5.54	n/a*
Clean net margin	26.9%	29.3%	20.2%	26.0%	~24.0%*	~21.5%*

FY25 clean margin strips the \$5.7B Q4 valuation-allowance tax charge described below; FY26E is my estimate, not company guidance, blending nine months of actuals with the Q3 FY26 guidance midpoint and a placeholder Q4. *GAAP FY26 net income is not shown because it will include the offsetting \$5.7B tax benefit from Q2 FY26 — see the bridge below before reading any full-year GAAP figure the market publishes for FY2026.

The same \$5.7 billion item cost Qualcomm a "loss" quarter, then handed it a "record" quarter four months later — and the two are about to fall out of sync in a way that will make next year's headlines misleading. In Q4 FY2025, new U.S. tax legislation (the OBBB's corporate alternative minimum tax) led Qualcomm to conclude it would no longer realize its federal deferred tax assets, so it booked a **\$5.7B non-cash charge to establish a valuation allowance** — turning an otherwise-solid quarter into a reported **\$3.12B GAAP net loss**. In Q2 FY2026, new IRS/Treasury guidance reversed that conclusion, and Qualcomm **released the same \$5.7B allowance as a non-cash tax benefit**, pushing GAAP net income to \$7.37B and GAAP EPS to \$6.88 — a number every headline described as "net income up 162%." **Both figures are noise, and they happen to be the same noise pointed in opposite directions.** Stripping both: trailing-twelve-month clean net income is approximately \$9.9B, for a clean EPS of roughly \$9.41 and a **clean trailing P/E of about 17.3x** — coincidentally very close to the unadjusted 18.6x, only because both distortions currently sit inside the same trailing four quarters. That coincidence expires next quarter: once Q3 FY26 replaces Q4 FY25 in the trailing window, the charge rolls off but the benefit remains, and TTM GAAP net income will look several billion dollars higher with zero change in operations — expect a "QCOM now trades at 12x!" headline in early 2027 that is just as misleading as this year's "loss" and "record" headlines were.



Sources: QCOM FY2025 10-K (Schedule II, valuation allowance activity), Q2 FY26 10-Q and earnings release, company investor presentations. The clean-EPS bridge is my calculation from company-disclosed one-time items; I have not further stripped stock-based compensation, restructuring or acquisition-related charges, which are real costs.

Key metrics — current

Metric	Value	Comment
Price / market cap	\$163.04 / ~\$172B	Intraday 7/28/26, down ~4.1% on the day ahead of tomorrow's print; 52-wk range \$121.99-\$259.92
Trailing P/E (GAAP)	~18.6x	Coincidentally close to clean this quarter — see bridge above; don't assume that holds next quarter
Forward P/E (Q3 FY26 guide midpoint annualized, non-GAAP)	~15x	Consistent with the ~13-15x forward figures widely quoted pre-print
P/E on management's FY29 EPS target (>\$18)	<9x	If management hits its own target, today's price is cheap on FY29 earnings — the flip side of GEV's math
Dividend yield	~2.1%	Not the reason to own this in a pension-backed, growth-mandated portfolio, but confirms no cash stress
Buyback yield	~5.4%	159% above its own 10-year median — capital return is unusually aggressive right now, at an unusually cheap multiple
Net cash	Positive, investment grade	FY25 FCF ~\$12.8B comfortably covered ~\$12.6B of FY25 buybacks + dividends

Sources: Robinhood 7/28/26; QCOM filings and Investor Day materials.

Owner earnings / cash-flow quality

Qualcomm does not have a hyperscaler's depreciation problem — it is fabless, so the capital-intensity questions that dominate an Nvidia or GE Vernova analysis (useful life of GPUs, maintenance vs. growth capex) mostly don't apply here. The more relevant cash-flow-quality question is the gap between GAAP and non-GAAP earnings, which for Qualcomm is driven primarily by stock-based compensation and acquisition-related amortization (Alphawave, Modular) — real costs to owners that I have not added back, consistent with the house policy of never excluding SBC. FY2025 free cash flow of roughly \$12.8B comfortably exceeded GAAP net income of \$5.54B (which was suppressed by the one-time tax charge) and modestly exceeded my clean net income estimate — a sign that reported cash generation is not being flattered by a one-off working-capital swing the way GE Vernova's currently is by its order-book surge.

Sensitivity: how much of the FY29 targets do you need to believe?

Non-handset FY29 revenue realized	Implied total FY29 revenue	Illustrative EPS	P/E at \$163 today	Read
50% of \$40B target (\$20B)	~\$47B	~\$12	~14x	Handset-plus-partial-diversification case; still cheap
75% of target (\$30B)	~\$57B	~\$15-16	~10-11x	My base-case neighborhood
100% of target (\$40B)	~\$67B	~\$18+	~9x	Management delivers in full — the bull case

Illustrative only. Assumes handset revenue roughly flat post-Apple-exit near ~\$27B (auto/IoT/licensing/datacenter absorb the mix shift) and a ~20% net margin held across scenarios; share count and margin will move in ways this simple table doesn't capture. The takeaway is the shape: even fairly conservative delivery on the FY29 targets leaves the stock looking cheap on FY29 earnings at today's price — the risk is more about whether FY29 arrives on schedule than about the destination.

6. Key risks and red flags

Risk	Severity	Assessment & what to watch
Apple modem/RF exit	HIGH	~\$7.3-7.8B annual revenue hole, ~20% of iPhones in 2026 falling to ~zero in 2027. Watch the Handsets line specifically for the pace of decline versus the auto/IoT offset — the two need to cross before FY28.
Samsung Exynos reintroduction	MED-HIGH	Qualcomm's Samsung flagship share cut from ~100% toward ~70-75% starting with the fall-2026 Galaxy S26 line — a second major customer diversifying away in the same window as the Apple exit.
Data-center execution	MED-HIGH	The \$15B FY29 target rests on chips that ship in 2027-2028, in a market Nvidia dominates and Broadcom/Marvell already serve at scale. Watch for confirmed hyperscaler revenue (not just design partnerships) starting FY2027.
Memory-cost handset headwind	MEDIUM	Elevated memory prices are constraining OEM handset builds industry-wide, not just for Qualcomm's customers — a cyclical, not structural, drag, but the near-term guidance (Q3 FY26 revenue down from \$10.6B to a \$9.2-10.0B range) reflects it directly.
Arm litigation (affirmative case)	LOW-MED	Qualcomm's own suit against Arm over withheld deliverables and licensing terms goes to trial October 5, 2026. The existential Nuvia-ALA question is already resolved in Qualcomm's favor (pending Arm's Third Circuit appeal); this remaining case is about commercial terms, not the right to ship product.
China regulatory/geopolitical exposure	MEDIUM	Meaningful China handset revenue and a history of Chinese antitrust scrutiny of chip licensing terms; any new export-control or antitrust action is a headline risk that is hard to model and easy to underestimate.
"Diversification is already priced in"	LOW (overstated)	I think the market currently overstates how much credit QCOM gets for auto/IoT/licensing — the stock trades near a 5-year-low relative multiple despite automotive posting record growth and QTL's annuity being untouched by the Apple chip exit. The discount looks wider than the risk once you separate "handset cyclical" (real, temporary) from "structural decline" (not what the numbers show outside handsets).

Red flag worth its own paragraph: two of Qualcomm's largest customers are diversifying away from it in the same eighteen-month window, and the stock's headline multiple currently hides that this is already happening, not a future risk.

It is easy to read "Apple modem exit by 2027" as a distant, single-customer problem. It is less easy to notice that Samsung — Qualcomm's other flagship-tier anchor customer — is simultaneously cutting Qualcomm's share of the Galaxy S26 lineup from roughly 100% back toward 70-75%, reintroducing its in-house Exynos silicon for the first time in several generations. Two of the three phone makers that matter most to QCT are shrinking Qualcomm's content in overlapping fiscal years. This is precisely why the Q3 FY26 guidance already embeds a real step-down (to \$9.2-10.0B from \$10.6B) and why I would not describe the current handset weakness as purely a "memory shortage, transient" story, even though memory costs are a genuine and separate headwind layered on top. **Stripped of spin: the diversification math has to work not against a hypothetical future risk, but against two concurrent, already-announced customer losses.** That said, this is exactly the kind of multi-year transition a ten-year, pension-backed holder can look through in a way a trader focused on the next two quarters cannot.

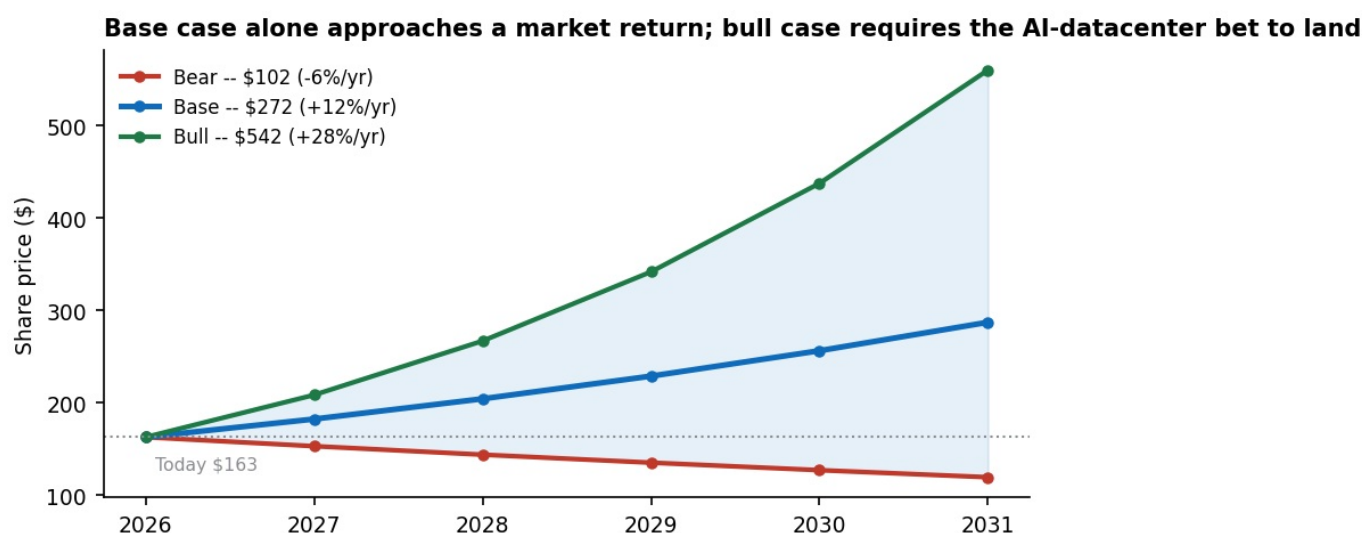
7. Valuation and five-year outlook

The setup. You are being offered a company with a genuine, high-margin licensing annuity, record automotive growth, and a credible (if unproven) datacenter option, at 18.6x trailing earnings — a discount of roughly two-thirds to peer semiconductor multiples of 50-64x. That discount exists for a real reason (the Apple/Samsung handset transition), not an irrational one, but it is a considerably more favorable starting price than most of the AI-infrastructure names in the portfolio.

Five-year scenarios (hold to end-FY2031)

Scenario	FY31 rev	Net margin	EPS	Exit P/E	Price	5-yr IRR
Bear — Apple/Samsung cliff outruns auto/IoT/data-center offset; multiple stays trough-level	~\$50B	16%	~\$8.51	12x	\$102	-6%/yr
Base — management delivers roughly 75-85% of FY29 targets with a lag; multiple re-rates modestly toward historical average	~\$68B	20%	~\$15.11	18x	\$272	+12%/yr
Bull — data center and automotive both land at or above target; multiple re-rates toward peer semiconductor levels	~\$82B	23%	~\$21.68	25x	\$542	+28%/yr

IRR includes dividends at the current \$3.68 annualized run rate, held flat. **My assumptions, not consensus or management guidance.** Probability-weighted (30% bear / 45% base / 25% bull), expected IRR is roughly **+11%/yr** — a meaningfully more favorable asymmetry than a story priced for perfection, because the base case alone is close to a market return.



What is priced in at \$163?

Run it backwards. To earn a market **10%/yr for five years**, QCOM needs to reach roughly **\$244 by FY2031**. At an 18x exit multiple (still below where TXN or MRVL trade today) that requires about \$13.57 of EPS, or roughly \$12.2B of net income — call it \$61B of revenue at a 20% net margin. That is close to, not far beyond, my base-case assumption of \$68B revenue at a 20% margin. **In other words, unlike a name priced for its bull case as the base, QCOM's base case alone very nearly clears the bar for a market return** — you are not required to underwrite the full \$15B datacenter target or a peer-level re-rating to earn an ordinary equity return; you're paid reasonably well just for the transition going roughly as management describes, with the bull case as genuine upside rather than the assumed floor.

Fit with your portfolio's growth objective

Yield (~2.1%) is a minor supplemental cushion, not the reason to hold this — consistent with your pension-backed, total-return mandate. **Your ten-year horizon is well suited to a multi-year customer transition like this one:** the Apple/Samsung handset headwind is a real, several-year drag that a trader focused on the next two quarters would rightly avoid, but it is exactly the kind of cyclical-plus-structural transition a patient holder can look through if the underlying diversification math works, and QTL's licensing annuity gives you a floor while you wait. **Correlation check:** a datacenter push (Alphawave, Modular, the AI200/AI250/Dragonfly roadmap) does add another log on the same AI-infrastructure fire as AVGO, MSFT, META, and SOXQ already in the book — but QCOM is also your only real exposure to the automotive-semiconductor and cellular-licensing legs of that story, so it diversifies the AI-capex theme by end-market even as it participates in the same underlying cycle. Tax location is a non-issue: ordinary operating-company earnings and a modest qualified dividend, fine for the taxable account.

The three things to actually watch

1. **Tomorrow's Q3 FY26 print (July 29, after close) and the September-quarter guide.** Guidance is \$9.2-10.0B revenue / \$2.10-

2.30 non-GAAP EPS, a real step down from Q2's \$10.6B. Options are pricing a ~9% move. The number to watch isn't the beat-or-miss on this guided range — it's whether the September-quarter guide shows handset stabilizing or the memory-cost drag deepening.

2. **Automotive revenue run rate versus the Apple/Samsung revenue decline.** Automotive is compounding at ~38% y/y off a ~\$5B+ annualized base; the Apple/Samsung hole is ~\$7-8B+ and lands over 2026-2028. Watch whether auto-plus-IoT growth is closing that gap on a dollar basis, not just a percentage basis, each quarter.
3. **First confirmed hyperscaler datacenter revenue, FY2027.** The AI250 accelerator ships 2027, the Dragonfly CPU 2028. Any signal — a disclosed revenue number, a second named hyperscaler beyond Meta, confirmation of the reported ByteDance relationship — is the first real evidence the \$15B FY29 target is more than a roadmap slide.

Bottom line

Qualcomm is not a wonderful business at a demanding price — it is a good, two-part business (a near-toll-booth licensing annuity plus a cyclical but genuinely improving chip franchise) trading at a discount that reflects a real, well-understood transition rather than the market missing something. The licensing business alone gives you downside protection an equivalent pure-chip peer wouldn't have; the automotive numbers are the first hard evidence, not just a promise, that diversification is working; and the balance sheet is funding an unusually large buyback at an unusually cheap multiple, which is the kind of capital allocation you want to see rewarded rather than punished by the tape.

My call: this is closer to a buy-here-and-add-on-weakness than a buy-on-weakness-only. The base case alone approaches a market return without requiring the bull case, which is a meaningfully better setup than several of the AI-infrastructure names already in the book trading at multiples that price the future as already delivered. The near-term risk is real — tomorrow's print, the Samsung share cut, and the unproven datacenter roadmap could all disappoint in the same eighteen-month window — but a ten-year, pension-backed holder is well positioned to look through a multi-year customer transition that the market is currently pricing at a steep discount. I would be comfortable sizing an initial or add-on position ahead of the print only if you're prepared to hold through the volatility a ~9%-implied-move earnings report can bring tomorrow; if you'd rather not carry that specific overnight risk, waiting for Thursday's open costs you little.

Sources & disclosures. Primary: QCOM Form 10-K (FY2025, filed Nov. 2025); Form 10-Q (Q2 FY2026, filed ~May 2026, sourced via SEC EDGAR/StockTitan); FY2025 Q4 and FY2026 Q1/Q2 earnings releases and call transcripts; Qualcomm Investor Day materials, June 24, 2026; company press releases on the \$20B buyback (3/17/26), Arm litigation (9/30/25 and 10-Q litigation disclosure), and the Alphawave/Modular acquisitions. Market data: Robinhood live quotes and fundamentals, July 28, 2026 (QCOM \$163.04, AVGO \$381.12, TXN \$277.59, MRVL \$174.59). Secondary/triangulation: Bloomberg, CNBC, Reuters coverage of Investor Day and the ByteDance/HUMAIN relationships; TIKR, Futurum Group, and sell-side commentary (Mizuho, BNP Paribas, Cantor Fitzgerald, Benchmark) for analyst-sentiment context only, not as primary inputs.

Known uncertainties, stated plainly: (1) FY26E revenue and margin are my estimates blending nine months of actuals with the Q3 FY26 guidance midpoint and a placeholder Q4 assumption — not company guidance for the full year. (2) The scenario table's FY31 revenue, margin, and exit-multiple assumptions are mine, not consensus or management targets, though the base case is anchored to a partial (75-85%) realization of management's own FY29 goals with a modeling lag to FY31. (3) The "50%/75%/100% of FY29 target" sensitivity table in §5 holds handset revenue and net margin at simplified constant assumptions for illustration; actual mix shift will move both. (4) I have not been able to independently verify the reported ByteDance custom-silicon relationship beyond press/Bloomberg sourcing, as Qualcomm has not confirmed the customer by name in a filing as of this writing. (5) The Alphawave/Modular acquisitions' contribution to the datacenter revenue targets is qualitative in this report; I have not modeled their standalone financial impact. (6) Every price and multiple here is as of 7/28/26 intraday and will be stale within 24 hours: **QCOM reports Q3 FY2026 tomorrow, July 29, 2026, after market close, which will move all of it.**

This is educational research and analysis, not investment advice. I am not a licensed financial or tax advisor, and nothing here is a recommendation to buy or sell any security. The scenario models reflect my assumptions, which will be wrong in ways I cannot anticipate. Position sizing, tax consequences, and how this fits alongside your existing AI-capex concentration should be decided by you — ideally with a fiduciary who can see your whole balance sheet.